

Crimson College of Technology
Final Term Exam

Level: Bachelor

Programme: BBA VI

Course: Financial Institutions and Markets

Year: 2025

Full Marks: 100

Pass Marks: 45

Time: 3 hrs.

Candidates are required to give their answers in their own words as far as practicable. The figures in the margin indicate full marks.

Section A

Very Short Answer Questions

Attempt all the questions. Give your answer in few lines. [10*2=20]

1. Define banking institutions.
2. List out any two major objectives of NRB.
3. The nominal rate of interest in a given year is 16% and inflation rate is 8%. What is the real rate of return?
4. What is the annual equivalent yield on a 13 week T-bill selling at a price of Rs.900?
5. Describe about off-balance sheet activities of banks.
6. Why banks are strictly regulated?
7. What do you mean by margin account?
8. Explain about bond indenture.
9. What is Net asset Value (NAV)?
10. How banks are different with finance companies?

Section B

Descriptive Answer Questions

Attempt any six questions. [6*10=60]

11. Explain about functions of financial markets in detail.
12. Elucidate the major policy tools used by central bank to control money in an economy.
13. Given the following spot rates for different periods of time from today. Compute all the possible forward rates.

Years from today	Spot rates (%)
1	5.0
2	5.5
3	6.5
4	7.0
5	7.5

14. A Rs.10000 T-bill with 91 days maturity sells at a bank discount yield of 3%. Assume that the discount is the difference between face value of the T-bill and market price of the T-bill.
 - a. Calculate price of the bill.
 - b. Compute holding period of return.
 - c. What will be the bond equivalent yield?
 - d. Calculate effective annual yield.
15. Consider the following information.

Stock	No of shares	Price July 1 2019	Price July 1 2024
Himalayan Bank	5000	Rs.1400	Rs.1600
Everest Bank	5000	Rs.800	Rs.900
Nabil Bank	10000	Rs.1600	Rs.1800

Assume, these three stocks issued no additional shares and had no stock dividends or splits. Ignore cash dividend payments when computing this price index.

Required

- a. Calculate value weighted index as on July 1, 2024.
 - b. Calculate price weighted index as on July 1, 2024.
16. Why commercial banks are regarded as financial supermarkets? Describe.
 17. Explain about open ended and close ended mutual funds in detail.

Section C

18. **Read the following case and answer the following questions.** 20

Nepal Stock Exchange, in short NEPSE, is established under the Companies Act 2006, operating under Securities Act 2007. The basic objective of NEPSE is to impart free marketability and liquidity to the government and corporate securities by facilitating transactions in its trading floor through member, market intermediaries, such as broker, market makers etc. NEPSE opened its trading floor on 13th January 1994. As of August 2024, the Market Capitalization of the companies listed on NEPSE totaled $\square\square476,590.9$ crore (US\$34 billion).

The current paid-up capital of NEPSE is NRs.1000 millions. Government of Nepal, Nepal Rastra Bank, Employees Provident Fund, Rastriya Banijya Bank (former, Nepal Industrial Development Corporation), Laxmi Bank Ltd, Prabhu Bank Ltd and other securities businessperson (brokers) are the shareholders of NEPSE.

The history of securities market in Nepal began with the floatation of shares by Biratnagar Jute Mills Ltd. and Nepal Bank Ltd. in 1937. Introduction of the Company Act in 1964, the first issuance of Government Bond in 1964 and the establishment of Securities Exchange Center Ltd. in 1976 were other significant development relating to capital markets.

Securities Exchange Center was established with an objective of facilitating and promoting the growth of capital markets. Before conversion into stock exchange it was the only capital markets institution undertaking the job of brokering, underwriting, managing public issue, market making for government bonds and other financial services. Nepal Government, under a program initiated to reform capital markets converted Securities Exchange Center into Nepal Stock Exchange in 1993.

Members of NEPSE are permitted to act as intermediaries in buying and selling of government bonds and listed corporate securities. At present, there are 92 member brokers, who operate on the trading floor as per the Securities Act 2007, rules and bye-laws. The broker house and its branches are expanded over 21 different cities of Nepal.

Required:

- a. Explain the major functions of Nepal Stock Exchange Limited.
- b. List out the possible products that we can trade through NEPSE and its registered market intermediaries.
- c. Explicate the role of SEBON to promote the financial markets of Nepal.